PepsiCo FP&A Annual Operating Plan (AOP) Budgeting & Forecasting Model

Executive Summary

PROJECT SNAPSHOT

Historical Data	Forecast Period	Planning Scenarios	KPIs Reported	Dashboard Charts
FY20 –FY25	**FY26 – FY28**	**3**	**6**	**5**

Business Objective

This self-initiated project was developed to simulate the end-to-end Financial Planning & Analysis (FP&A) process for PepsiCo's Annual Operating Plan (AOP). Leveraging six years (FY20 – FY25) of publicly available SEC financial statements and Management Discussion & Analysis (MD&A), the project develops a driver-based three-year forecast (FY26 – FY28), evaluates key business assumptions, and translates financial insights into strategic recommendations for executive decision making.

Project Scope

- ✓ Historical Financial Analysis
- ✓ Driver-Based Forecasting
- ✓ Annual Operating Plan
- ✓ Budget Development
- ✓ Variance Analysis
- ✓ Scenario Analysis
- ✓ Executive KPI Dashboard
- ✓ Strategic Recommendations

Data Sources

- PepsiCo FY20 – FY25 SEC Form 10-K filings
- Management Discussion & Analysis (MD&A)
- Consolidated Income & Cash Flow statements
- Segment Revenue Disclosures
- Management Guidance & Business Commentary

Methodology

Historical Analysis → Forecast Assumptions → AOP & Forecast → Variance & Scenario Analysis → Executive Reporting

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Independent Project

Historical Financial Performance (FY20–FY25)

Historical Analysis & Key Performance Indicators

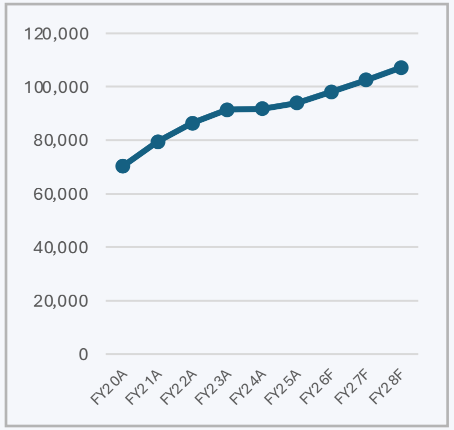
KEY BUSINESS INSIGHTS

- Revenue increased from $70.4B to $93.9B (+33%).
- Pricing offset weaker consumer volumes after FY22.
- Gross margin remained resilient around 54%.
- Operating margin compressed due to inflation.
- Free cash flow remained consistently above $5B.

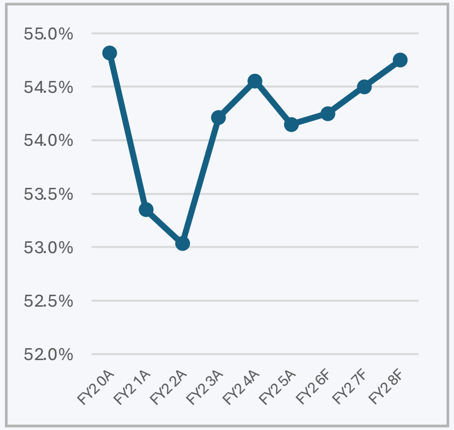
EXECUTIVE KPI SUMMARY

Revenue	Gross Margin	Operating Margin	Free Cash Flow
$93.9B	**54.1%**	**12.2%**	**$7.7B**
FY25A	FY25A	FY25A	FY25A

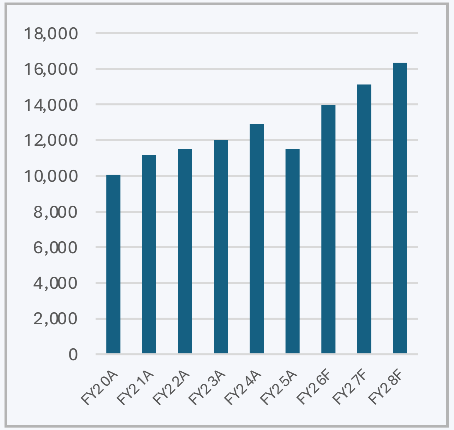
Revenue Trend



Operating Margin Trend



Free Cash Flow Trend



KEY TAKEAWAYS

Observation	Business Impact	Recommendation	Owner
Price supported growth while volume softens.	Long-term growth depends on restoring volume.	Increase volume through innovation and targeted promotions.	Commercial Finance / Sales
Elevated COGS and SG&A compressed margins.	Higher costs reduced operating leverage.	Improve procurement and productivity initiatives.	Supply Chain / Finance
Free cash flow remained consistently positive.	Supports investment flexibility and shareholder returns.	Prioritize high-return capital allocation.	Treasury / Capital Planning
Forecast remains sensitive to inflation and consumer demand.	Higher forecast uncertainty.	Expand rolling forecasts and scenario planning.	FP&A